

Unaudited Financial Report (Quarterly)

As on 2nd Quarter (2082.09.30) of Fiscal Year 2082/83

Statement of Financial Position

(In NPR)

Particulars	This Quarter Ending	Previous Quarter Ending	Corresponding Previous Quarter Ending
Assets			
Non-Current Assets			
Property, plant and equipment	3,608,946	2,855,227	2,913,865
Intangible assets	1,044,722,317	1,055,696,302	1,085,814,302
Total Non-Current Assets	1,048,331,263	1,058,551,529	1,088,728,167
Current Assets			
Cash and cash equivalents	26,767,285	4,756,108	8,326,239
Other current assets	92,801,747	115,447,105	92,454,454
Total Current Assets	119,569,032	120,203,213	100,780,693
Total Assets	1,167,900,295	1,178,754,742	1,189,508,859
Equity and Liabilities			
Equity			
Equity share capital	802,500,000	802,500,000	802,500,000
Retained Earnings	(92,356,819)	(118,960,927)	(147,080,234)
Total Equity	710,143,181	683,539,073	655,419,766
Liabilities			
Non-Current Liabilities			
Financial Liabilities			
Long Term Borrowing	436,933,046	457,071,372	530,949,795
Total Non-Current Liabilities	436,933,046	457,071,372	530,949,795
Current Liabilities			
Short Term Borrowing	17,249,707	34,538,146	-
Provisions	-	-	-
Other Current Liabilities	3,574,361	3,606,151	3,139,298
Total Current Liabilities	20,824,068	38,144,297	3,139,298
Total Liabilities	457,757,114	495,215,669	534,089,094
Total Equity and Liabilities	1,167,900,295	1,178,754,742	1,189,508,859

Statement of Profit or Loss

Particulars	This Quarter Ending	Previous Quarter Ending	Corresponding Previous Quarter Ending
Revenue	122,747,959	72,761,195	106,717,927
Cost of sales	5,821,156	3,115,320	6,673,334
Gross Profit	116,926,804	69,645,876	100,044,593
Depreciation	423,067	147,183	319,649
Amortization	22,960,930	11,474,960	22,846,632
Employee Benefits Costs	8,957,246	4,659,793	7,524,769
Administrative and Other Operating Expenses	2,787,028	1,739,518	3,459,365
Profit from operation	81,798,533	51,624,421	65,894,178
Other Income	6,113,302	-	24,086
Finance Costs	20,470,497	10,787,083	25,720,442
Profit Before tax	67,441,338	40,837,338	40,197,822
Income tax Expense	-	-	-
Profit for the period	67,441,338	40,837,338	40,197,822
Other comprehensive gain/ (loss) for the year, net of tax			
Total comprehensive gain/ (loss) for the year, net of tax	67,441,338	40,837,338	40,197,822

NOTES

1) The above mentioned figure are subject to change during statutory audit of the books of accounts.

Second Quarter Disclosure as of 30th Poush 2082 (14th January, 2026) as per Securities Registration and Issuance Regulation Annexure 14 (Related to sub-regulation 1 of regulation 26)

1) Financial Statements

- a) The financial statements for the second quarter have been published as a part of this report.
There have been no transactions with the related party.
- b) Key Financial Ratios at the end of the quarter:

Particulars	Upto This Quarter Ending	Upto Previous Quarter Ending	Upto Corresponding Previous Quarter Ending
Earnings Per Share (EPS)	8.40	5.09	5.01
Current Ratio	5.74	3.15	32.10
Return on Assets (ROA)	5.77%	3.46%	3.38%
Networth Per Share	88.49	85.18	81.67
Price Earnings Ratio	45.21	74.48	106.81

2. Management Analysis

- a) **Any changes in the stock, income and liquidity during the quarter and reason for change, if any:**
Revenue from the Sale of Electricity has increased by 15.02% compared to the corresponding previous year's quarter ending. The increase in revenue is caused by the ability to operate the machine shutdown due to the breakdown of turbine shaft during last year's first quarter. The net profit for the second quarter end of FY 2082/83 has increased by 67.77% compared to the previous year's quarter ending due to an improvement in revenue, financing cost and administrative cost.
- b) **The statement of management analysis on the upcoming business plan:**
The company management is persistently working on improving internal control system and risk management practices.
- c) **The analytical statement of the possible effect on company's profitability, stock and cashflow based on the past experience:** The company has maintained steady progress on profitability and there has been no such other incident during the period which might have negative impact on the profit or cash flow of the company.
3. **Statement relating to Legal Action**
During the period, there were no legal cases raised or pending against the company and from the company.
4. **Analysis of the share transaction of the company**
a) During the second quarter, MHCL shares traded actively for 55 days till the end of Poush 2081.
b) The highlights of the share transactions during the quarter are as follows:

Maximum Price	426.00	Transaction Days	55
Minimum Price	363.00	Total Shares	430,105
Closing Price	379.90	No of transactions	5,036

5. Problems and Challenges

- a) Internal
- Maintaining operational efficiency
 - Retention and optimization of skilled human resource.
 - Fund management
- b) External
- Low water flow risk in the rivers for hydropower plant/projects
 - Loss due to natural disaster –Flood, Earthquake, force measure issue etc.
 - Lack of domestic suppliers and vendors for hydropower equipment and spare parts.
 - Inconsistent regulatory and policy level commitment from the government regulatory agencies in development of hydroelectric projects"
 - Inadequate existing transmission line .
- c) Strategies
- Development of various internal policies and procedures
 - Implementation of HR optimization plan
 - Identification of different financial instruments along with risk assessment
 - Lobbying with government authorities for investment friendly environment

6. Corporate Governance

The Board of Directors are committed to upholding good corporate governance practice in the company through implementation of policies and guidelines for proper functioning of the company. The company has been functioning in compliance with Companies act, 2063 and Corporate Governance Guidelines, 2074 issued by Security Exchange Board of Nepal.

7. Declaration of Chief Executive Officer on Truth, Tactfulness

I, the Chief Executive Officer of this Company, take responsibility for accuracy of the information and details mentioned in this report. I also declare that the information and details mentioned in this report are complete, true, based on facts and the information, details necessary for making informed decision by the investors are not concealed.